15/12/21.

FIN 418 (COURSE OUTLINE).

* An Overview of International buz finance.
* International business and trade.
* Current trend and drivers of International trade and investment.

COURSE OUTLINE. FIN 418.

Introduct of International business finance.
International trade and Investment Including the theories that support those ~~trade~~..
Foreign exchage rate determination and quotation Including Introduction to foreign exchange trade transaction.
* Mangt of foreign exchange risk exposures
* Balance of payment account
* Balance of payment adjustment mechanism.
* financing arrangement procedures and documentation in international buz and trade.
* International financial market and institutions.
* Globalization: Concept, features and Implementation.

Text book: International buz finance and management by prof Ezekel.

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Topic: Overview of International business finance.

What is International business finance: from the topic, there are three key words that are to be considered which are Internation, business & finance International business finance is a discapline or a multi-displine that contains other areas or field that exposes people to different ways of managing financing, Investing finance, raising finance beyond the shores of a country. It focus on monitoring the financial or monetary interaction btw people from different countries or nations.

It prepares one to have the knowledge on how to manage International investment and corporation as it will expose one to the areas of having ideas and knowledge on foreign currencies

Objectives of International business finance.

1. To reduce global poverty and increase global standard of living and economic conditions of every nations.
2. Aims to support national economic ~~stab~~ substainability prospec
3) Helps to promote regional co-operation and global finance transparency.
4) Supports the growth and development of International financial Institutions.

Scope of International business finance.

As a body of knowdge I.B.F acquires knowledge from various field of study body of knowledge including social sciences, behavioural sciences and business management.

Various businesses that can go International.

1) franchising ii) exporting iii) importing iv) multi-national firms v) buying and selling vi) foreign investment.

Importances of International business finance.

1. It enables Investors or countries maximise their wealth.
2) Helps Investors to optimise Interest rate stability.
3) Helps Investors to manage risk especially foreign exchange risk and
4) Helps Investors to manage to know how to mange Inflationary trends that might affect his/her Investment Income.

Scope / Focus of International business finance.

The course as a discipline focuses on the following:

* Standardization of world economic stability through International
* Monetary exchanges and relationship among countries.
* focuses on Individual markets & countries) International capital flow
* focuses on external trade and global market development.

Other areas of focuses Includes:

* Optimum currency areas
* International fishers effect and Interest rate fluctation among the

Features / ~~Features~~ ~~Differences~~ of International Business and Domestic International trade.

International business / Trade.	Domestic business / Trade.
* cross-border transaction * The trade is between individuals from one country and an Individual from another country (Inter-Country business).	* Trade within the border of a nation * The trade is between Individuals within the same country. It is an (Intra-country transaction or business).

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*) Different laws of the countries involved must be observed and respected too
there are various laws to be obeyed.
* Language barrier ie you must learn the languages of the country you transact with
* Movement of factors of production is not easy due to some restriction eg labour, capital etc.
* The foreign currencies needed for the transaction is difficult to acquire and you must know the exchange rate and how it affects your business (foreign currency issues). High transaction cost
* There is exchange rate risk.
* External trades

* The traders are expected to observe and respect the law of a particular country i.e we have only one law to obey eg Nigeria
* There is no language barrier
* There is restriction in the movement of factors of production as transportation is very easy.
* Only one currency is involved and there is no transaction cost (Local currency)
* There is no exchange rate risk in domestic business.
* Internal trades.

THE PRACTICE OF INTERNATIONAL TRADE CONCEPT (TRENDS).

International trade is a business activities that involves individuals going beyond borders to trade with one another.

Over the years, Countries all over the world have engage in commercial activities among themselves from time immemorial. In recent times, this International trade has grown even faster than domestic trade, the growth in International trade however, can explained as a result of various factors that have collectively been driving the growth of international trade particularly in Nigeria.

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These factors includes the following: that encourage international trade.

1. Globalization: This is the International networking or the Interconnectivity of nations.

2) Trade liberalization: How various government removes restrictions on trade activities eg how federal government some licences for buz or trade activities in Nigeria and other countries. This enable ease of doing buz

3) Creation of regional economies: Eg Ecowas, European Union etc. These groups helps to Improve trade relationship among their member

4) Technological advancement: These are the rapid development in the technogies eg easy transfer on phone without going to banks

5) Emerging market growth in the International trade: Eg ten years ago, China, India where all emerging market as their products could not compete with the developed market of United States. Nigeria is not an emerging market although they claim to be. as Nigeria is a frontier market

6) Creation of common currencies: This explains how each group. eg European Union wants to have one currency as every european countries under EU must use "Euro" as a legalised currency and not pounds. Even the African Union is working towards making one currency for all the african countries.

Types/ Components of International trade.

* Export trade; Visible export trade ii) Invisible export trade

Export trade: This refers to International trade that focuses on selling of goods and services outside the shores or border of a country. When the product sold are physical product or are tangible product then it is called "visible export.

* When the product of export trade are not physical or tangible the products is called "Invisible export) they are referred to

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services eg educational services eg people from U.K coming to study In Nigeria - when they study, they pay fund to the country.

* Import trade: This is International trader that focuses in on buying of goods and services into a country.

visible Import trade: When we buy tangible or physical goods eg car

Invisible Import trade: When we buy intangible or non-physical goods known as services eg Nigerian travelling to Ghana to study finance.

* Entraport: This is when a business man Imports goods from a country different from theirs for the sole aim of export it to another country. eg Rebecca Importing goods from U.S into Nigeria in order to export it back to Ghana.

22/12/21 FIN 418:

Topic: International Trade and Investment theories.

* The Mercantilism theory * The Absolute advantage theory.
* The Comparative cost advantage theory * The factor endowment theory.
* The product life cycle theory etc.

A] The Mercantilism theory: This is the oldest theory, established in the 16th century. It focuses on International trade and businesses. It was discovered by Adam smith and his colleagues. This theory was established in order to encourage countries to work hard and try to produce more for export in order to get more golds

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From other countries. i.e encouraging countries to export more and reduce their import less since after their exportation, they tended to get more gold than them importing and paying with Gold. This period is "Gold standard period" as Gold was used as a medium of exchange. The Theory of mercantilism was the oldest international trade theory proposed by the early economic classical theory. This theory particularly focused on encouraging countries to increase their export of goods and services while restricting import. The theory was used to justify the ability of countries to generate more "Gold" through their exports of goods and services. The theory was proposed during the period of "Gold standard" i.e era when gold was used as a medium of exchange. (gold or metal was used as medium of exchange) the more exports the country engages in, the more gold the country generates and the richer the country are. founded in 16th century.

Note! This theory discourages "Importation of goods and services"

Disadvantages of Mercantilism theory (16th Century).

1. Import restriction has created scarcity of goods and services.
2. Consumers has limited choice to make in terms of goods & services
3. It resulted to Inflation
4. Promotion of nationalism (i.e countries not ready to open their borders for other countries i.e they where not International co-operation among countries as this act frustrated most manfacturers that needed to import some ma

B: The Absolute Advantage Theory (18th Century 1776): This theory particularly states that a country can benefit in International trade by producing and selling only those product in which it has absolute advantage. (propounded by Adam smith)

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They argued that, Mercantilism theory robbed people the rights to trade freely and benefit from voluntary exchange. They emphasized that, by restricting Imports Countries wher envitably wasting their wealth or resources by producing those goods and services at a very high cost because they lack those resources needed in producing such goods since they will compiled to produce goods and services they do not have absolute advantage on. The absolute advantage theory or principle allows country focus on the goods & services they can produce by using less of their resources. The major disadvantage is that the theory expect countries to only produce goods they have less expenses on as they can't produce such goods.

ii) Comparative Cost Advantage (1817): This theory was propounded by David Ricardo. This theory considered the opportunity cost of producing one commodity to another. Note! Opportunity cost concept was used. This theory states that a country should specialize in the production of goods and services in which it has comparative cost advantage in producing over other countries. Under this theory, the proposal of this theory argued that what matters is not absolute advantage or cost of production but rather the relative efficient cost or the ratio at which the two countries can utilize resources in the production of goods & services i.e it can benefit two countries to trade freely as long as one country is more efficient in producing goods & services needed by the other trading nation or partner. The Principles of comparative cost advantage was basisly stressing on the "concept of opportunity cost" which measures the trade-off of benefits between two countries.

Assumptions of Comparative Cost advantage theory

1. They assume their are only two countries involved in exchange of goods and services.
2. Assumed that their are two commodities involved in international trade.
3. Labour or supply of labour is the main factors used in the production.
4) There is no trade imbalance btw the two countries.
5) Cost of production would be fixed or constant

Illustration: Two countries France and USA are engaged in exchanged in the exchange goods and services. Two commodities involved are clothes and wine. It takes France One hour to produce five yards of clothes and 10 cartons of wine will be produced by France in one hour. While USA used One hour to produce 20 yards of clothes and 20 cartons of wine.

	Labour/1hour (Cloth) 1hrs	Labour/1hour (Wine) 1hr
France	5 yards	10 cartons.
USA.	20 yards.	20 cartons.

Note: Under the absolute advantage theory it was discovered that U.S.A has absolute advantage in the production of cloth & wine given the availability of labour in their respective country. U.S.A should concentrate in producing and exporting both commodities since they are efficient in producing both wine & cloth.

Opportunity cost table (France).

Opportunity cost of producing wine and leave out cloth (France) = 10/5 = 2 yard

produce cloth and leave out wine = 10/5 = 2 yard

In USA

produce cloth and leave out wine: 20/20 = 1

produce wine and leave out cloth = 20/20 = 1

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Opportunity cost table:

	Cloth	Wine	Decision.
france	2	½	Produce more of wine
USA	1	1	produce more of clothes.

Note: Country should go for the commodity with less opportunity cost as france is expected to produce more of wine i.e focus more in the production of wine since if they decide to produce cloth, they are bound to exhaust more of their resources for clothes.
USA is expected to produce more of cloth since france already focuses on wine although USA has equal opportunity cost on both commodities. In order for the two countries to trade, USA needs to focus on clothes.

Benefits of International trade.

1. Voluntary International trade: International trade enables goods to buy goods & services they cannot produce themselves
2) Skills Specialization: Countries are encouraged to specialise in different skills in production in goods & services they are efficient at.
3. Improvement in the standard of living: This is possible through import and export of goods and services among countries.
4. Creates Employment opportunity 5. Encourages International co-operation and global peace.
6. Unnecessary waste of resources will be reduced eg When Nigeria is forced to be producing car even when they don't have comparative advantages on car production instead of importing it.

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Disadvantages of International trade:

1. Dumping of low quality goods or Inferior goods.
2. Adverse balance of payment i.e when countries involved does not have trade balance i.e Unfavourable balance of payment.
3. It affects or reduces a countries national reserve (i.e National Savings account in foreign currency). This account can only increase when a country brings in more foreign currency as this account determines the exchange rate for the country.
4. Too much importation makes a country to pay more hard currency as it affects a countries balance of payment.
5. Depletion of national reserves occurs due to reduced national reserve.
6. Devaluation of local currency.

Why must countries restrict trade (international trade):

1) To protect local industries and to prevent dumping.
2) To create employment opportunity
3. To avoid Imported Inflation (i.e buying goods from countries experiencing inflation

Measures or tools to restrict international trade:

1. Use of Import licence. (licence is a document signed & approved by the govt.
2. Use of Import duties (These are Indirect taxes levied on commodities.
3. Use of Importation quota (restriction of the quantity of goods that can be Imported into the country eg Nigeria should not import more than 10 cars in a year)
4. Subsidy on trade or Import subsidy
5. foreign exchange control and 6. Devaluation of local currency

Note: Devaluation of Naira will make our product cheaper but if that occurs what is Nigeria producing, it is better we maintain our currency & encourage other countries to buy our products like garri.

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Topic: Foreign exchange rate / determinants.

Factory Endowment theory: Countries are bound to enter into International trade because they may be naturally endowed in factors of production. These countries export capital intensive products and other products that are factors efficient in production.

Product life cycle theory: Countries enter into International trade for reasons to expand beyond their national boundaries having satisfied their local demands. The process and stages of production determines the countries that can export.

FIN 418.

NEW TOPIC: Foreign exchange rate determination (DR Oheira).

What is foreign exchange: This is the means of settling international payments or an instrument used for payment of international transaction or it is used for financing international or external transaction.

Foreign exchange involves convertible foreign currencies which are needed to effect settlement of international transactions. Example of convertible currencies are Dollars, pounds etc.

Note: Foreign exchange transactions has to do with Convertible currencies with are available in developed countries. < Non-convertible currencies are common to non-developed countries

Sources and Uses of foreign currencies.

Demand for foreign currencies ie things or transactions that requires foreign currencies.

1) Importation of goods: Foreign currency is needed when we want to buy good or import goods.

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2) settlement of foreign obligation or debt. 4. foreign medical bills.
3) personal travelling allowance. 5. Payment of school fees.
6. Foreign Investment.

Supply of foreign Currencies.

i) ~~Sales of~~ exporting product to foreign countries ii) Grants from friendly countries
ii) foreign Investment by foreigners. (i.e Inflow of foreign direct Investment.
iv) Donations v). Services sold to foreigners eg Education.

What is foreign exchange rate: This is the price of one unit of a country currency expressed in terms of another country's unit of currency

It represent the number of units of a ~~Currency~~ countries currency that can be exchanged for one unit of another countries currency eg one Naira to one Dollar. This is used for different purposes especially in International transactions. It is subject to flunctuation based on economic conditions of a country. It is function of macro economic performance of a country. The more stable the exchange rate is, the better the economy.

A number of theories have been proposed to explain the ~~foreign~~ foreign exchange rate determination. Which are:

* The mint parity theory * Purchasing power parity theory (the law of one price) * Balance of Payment theory.

i) The Mint Parity theory: This theory was proposed during the period when gold was used to measure the value of currency. Theory helped to explain how the value and weight of a country will be compared to the one available in another country. Under this, the currency in use is meant to be convertable into gold at a fixed rate. This rate at which a country currency is can be convertible into gold was reffered to as "Mint Price of Gold".

Note:
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Note: The mint parity theory is not more in use.

Note: The weight of the gold determines the value of the currency.

E.g If one gram of gold cost 5 pounds in UK and the same on gram of gold cost 10 dollars in US. The exchange rate btw US and UK will be 10/5 = $2 i.e One pound is equal to 2 dollars.

2- Purchasing power parity theory: This is similar to the mint parity theory as the mint parity theory is not more in use. Then they decided to adopt one currency. Under this theory, the equillibrum exchange rate btw two convertible currencies is reflected by the purchasing power of the two countries currencies in their various countries.

Illustration 1: If a 1 Techno handset cost 1000 pounds in london and the same handset cost ₦20,000 in lagos. under this theory the purchasing power is: ₦20,000/1000 pounds

Answer: exchange rate = ₦20,000 / £1,000 = ₦20

i.e 1 pound equal to ₦20.

3. Balance of Payment theory: This theory states that under a free exchange rate system or flexible or floating system, that exchange rate btw 2 countries should be based on their countries balance of payment account. Balance of payment account is an account kept by countries that engage in international transaction or trade. When the BOP is favourable it impacts the foreign exchange positively.

Types of foreign exchange Rate system/policies.

Basically foreign exchange rate system policies are classified into 2:

a) The Fixed exchange rate system.

b) The Floating or flexible exchange rate system.

Note: Under the purchase power parity theory, the law of one price, controls the exchange rate i.e the price of the same commodity should be equal in diff currencies. The purchasing power determines the E.R.

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from these two types we have the hybrid exchange rate which are:
a) Manage floating exchange rate ii) Target ~~rate~~ zone exchange rate.
c) Crawling E.R and d) multiple exchange rate.

1) Fixed exchange rate system: A country can adopt or fix the exchange rate that could resist the market forces. The government plays an important role under this fixed E.R. This fixed E.R is managed by the federal government and the rate is not subject to change for a long time. The federal govt det the fixed exchange rate through the central bank of Nigeria as the demand & supply forces cannot affect it. It takes time before it can be ch

Advantages of fixed exchange rate

1.) Helps to eliminate foreign exchange rate risk. e.g When you know the exchange rate is ₦350 to $1 you will be able to plan for the future.
2. Helps a country to achieve balance of trade.
3. Helps federal government achieve Macro economic stability.
4) Discourages arbitrage process or transaction. (Arbitrage is the proces When Investors tries to make abnormal gains due to mis-pricing.

2. Flexible exchange rate System: The exchange rate is determined by the forces of demand and supply or the market forces. When the pressure is from demand (eg too many students wants to travel abroad) i.e excess dem- and then the exchange rate will increase but if the supply is higher then the exchange rate will fall. In case of Nigeria, it exchange rate is high due to high demand. The monetary authority does not intervene under the flexible exchange rate system.

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* Target zone exchange rate: This is a hybrid exchange rate that has the combination of fixed and flexible exchange rate.

* Crawling peg exchange rate: Under this, the rate is adjusted from time to time in line to the inflation rate i.e if adjustment of the exchange rate is mirrored in relation to the exchange rate.

x. Manage floating exchange rate: The rate is allowed to float but subject to the intermediate government intervention i.e if it is too high govt can decide to buy in order to maintain the standard

* Multiple exchange rate: This type is used by a country with more than exchange rate i.e when a country uses more than one exchange rate to manage the external reserves and for international businesses.

*for instance btw 1962 to 1986 Nigerian used the fixed exchange rate system.

* Between 1986 to 1987 i.e Nigerian used the dual exchange rate that operate in a parallel market.

. Factors that affect foreign exchange rate determination.

i. Inflation ii. Level of money supply in the economy i.e high level of money supply will translate to high liquidity.

Note: When the local currency falls, the foreign exchange rate increases. i.e When exchange rate is raising, the foreign currency is also raising as the local currency is falling.

iii) Interest rate v) Balance of payment account position. (When this is in red, then the country is owing and the country currency value will fall and it also affects the countries external reserve as it reduces showing that government is not saving anything.

v.) Caprtal flight: This is used to explain the money that leaves the country through illegal means. Or when money comes in to the country through illegal mean. This act serves as leakage and it has a negative effect on our Nigeria economy as it affect the Naira. These money are not captured by the financial sectors. It can includes:

* Smuggling
x Over or under Invoicing
vi) political instability
vii) Government regulation & control
viii) Arbitrage process ~~be~~ speculation at high rate.
ix) bad information or rumors about wars, Insecurity etc.

Topic: Foreign Exchange Market (All derivative market are prone to default expect future market)

The foreign exchange market provides a platform through which money of any country can be exchanged for the currency of another country. The foreign exchange ~~exch~~ market therefore serves as an avenue where foreign exchange transaction can either remotely excuted (consumated) or physically excuted (consumated). It is also a ~~stran~~ Institutional structure where foreign exchage rate can be determined. (Exchange rate is the prices of various currencies

Note: It is a platform and not a physical location where foreign exchange are traded. It is usually operated online. It can be classified under three groups:

Types of market under foreign Exchange

i) Spot Market
ii) Swap Market
iii) Forward Market
iv) futures Market
v) Options Market
vi) Black market.

Note: The swap, forward, ~~fu~~tures and options markets are under "Derivative markets. (prices of these markets are determined by underlying assets.)

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i) Spot Market: A spot agent rate market is a market where foreign exchange market tranctions can be executed at an agreed rate for immediate delivery of the currencies on the spot. The type of transaction under this market is called "spot transaction" which is concluded under 24 hrs and the exchange rate det in this market is called "spot exchange rate"

ii) Swap market: This is an exchange rate market where the purchase & Sales of a given amount of a currency is simultaneously done.

iii) Forward market: → Not properly regulated. This market deals with agreement eg I will enter into a contract today to pay dollar in one month time coz the fear that the prices might rise tomorrow). Agreement made today that will be processed later in the future. This is a market that is not for immediate delivery but for future. It requires two parties in form of contract and defau -t is not permitted. conducting a transaction at a spot exchange rate to be delivered in the future. It is not a market for immediate delivery but future.

iv) Future market; This is similar to forward market as. This is more regulated and

iv) Black market; example of black market is bureaurde change. Black market operates behind the official rate. It is a parallel market. Bureux de Change is a refined structure of the black market, though black market still exist.

Functions of foreign exchange rate market

1. It assist in the transfer of purchasing power needed for International transaction.
2. Helps or provides credit facilities among countries & investors that participates in international basis

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3) Helps to provides hedging facilities. i.e mitigation of risks or reduction of risk impact.

Participants / players of foreign exchange market.

1. Foreign exchange brokers: An agent that works / transact on behalf of his principals with a commission called "brokerage fee"

2. Speculators and Arbitragers 3. Central banks 4. Commercial banks

* Commercial banks: They play 2 roles of providing of services to Individuals client and operating in interbank transaction (other banks). 5.) Importer & exporter (major participant or stakeholder)

Foreign exchange rate quotation and determination.

F.E rate quotation: This is the expression of the amount the individual is ready to buy or sell. We must quote two rates (buying rate and selling rate).

Note: Bid prices → buying price while ask price → selling price.

Note: you sell at the banks buying rate. Cbas banks will buy at low price and sell at an higher rate. Note: Rate changes at time basis based on the information gotten globally.

Types of quotation Method.

There are two types of quotations methods:

1.) Direct quotation ii) Indirect quotation.

A Direct quotation of exchange rate: This means there is need to provide many units of the local currency to buy one unit of the foreign currency. It is also termed as "pence quotation". Examples of direct quotation are as follows: If we have Naira to dollar exchange rate i.e ₦/$

exchange rate = ₦500 / $1 i.e we need ₦500 to buy 1 unit of dollar.

(₦ = local currency, $ = Base currency)

ii) Indirect quotation of exchange rate: This is a reciprocal of the direct quotation. It is also term as "currency quotation". This is the number of units of foreign when you need to provide many units of foreign currencies to buy one unit of local currency. Example: $/₦ exchange rate - $1/₦500 = 0.002 ∴ $0.002/₦1

Note: In carrying out foreign exchange quotation, two currencies are involved The currency that is going to be bought or acquired in one unit should be used as the "Base currency" while the other is called the "Refered currency".

Currency depreciation and Appreciation.

Currency Appreciation: Foreign C.A occurs when the spot exchange rate is trading behind the forward exchange rate. [spot exchange < forward exchange] forward to known if the foreign currency has appreciated we need to known the Inflation rate in the foreign and domestion exchange rate, we can detect the percentage of

The difference between the spot exchange rate and forward exchange is called either premium or discount. [spot exchange > forward exchange it is called a Discount) i.e it is trading at discount.

When Forevared exchange > Spot exchange is called Premium.

It can be expressed at a percentage which is the percentage of change.

Foreign exchange rate risk

$$\text{Percentage Change (\%)} = \frac{FR - SR}{SR} \times \frac{100}{1}$$

Where SR = ₦/$ exchange rate ⇒ ₦500/$1.

FR = ₦/$ exchange rate ⇒ ₦550/$1 → 3 months time.

Note: When months or days are Involved, you need to analyse.

$$\left[\frac{550-500}{500} \times \frac{3}{12} \times 100\right] \text{ check.}$$

$$\left[\frac{Fr - Sr}{Sr} \times \frac{100}{1}\right] \% \text{ change.}$$

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Foreign exchange rate risk.

This is an adverse Impact that can occur as a result of participation in foreign exchange rate transaction.

Types of foreign exchange rate risk.

1. Transaction risk ii) Translation risk iii) Economic risk

* Transaction Risk: foreign exchange transaction risk can occur to a bus exposured to International transaction. This type of risk arises as a result of changes in the foreign exchange rate within the period the transaction was Initiated and the period the transaction was concluded.

* Translation risk: This has to do with the Income statement and b/sheet and it affects people in International Investment, subsidiaries and multi-national etc. The account of the subsidiary is prepared in local currency eg Nigeria, at the end of the year when preparing the consolidation account, the profit will be overbalance because it was prepared at a reduced rate eg ₦500/$1

* Economic Risk: It has to do with devaluation of the portfolio value of Investors. The value of portfolio of Investors can affect the value of exchange rate risk when the value drops it affect the sector i.e every sectors

Protection of business / Investors from foreign exchange risk.

How to protect the business / Investors from foreign exchange risk.

i) Ignoring the risk in his local currency.

ii) An exporter can decide to invoice it's good in his local currency.

iii) hedging foreign exchange rate i.e the way of reducing or neutralising the Impact of the risk by doing so, the company or Investors will decide to enter into the derivating market.

iv) Leading and Lagging method: This is trying to fasten the payment earlier than expected because you have an idea of the exchange but when you delay the payment bcos you feel the exchange rate is not favourable then you are applying the "lagging method" but leading method is when you pay on time

v) Netting off method: This is dealing with different types of currencies eg Naira, Dollar, pounds etc. The different currencies cannot rise at the same time as the loss made in one currency will be covered by the profit made in an another currency.

Assignment.

Based on the purchasing power parity theory, of exchange rate determination, the following methods can be used to determine exchange rate at any point in time?

1) $\frac{1+FR}{1+DR} = S/F$ (for direct quotation.)

ii) $\frac{1+FR}{1+DR} = F/S$ (for Indirect quotation)

Where FR → Foreign Inflation rate. ; S → Spot exchange rate

DR → Domestic Inflation rate ; F → forward exchange rate.

Assuming Nigeria and Japan are two Countries engaged in International trade. The ruling Inflation rate in Nigeria is 10% while Inflation rate in Japan is 5%. The current exchange rate btw the two Countries currency is ₦180 to 1 Yen. Required:

1) What could be the exchange rate btw Nigerian & Japan Next year

ii) What could be the exchange rate btw Nig & Japan in 6 months time

2) Assuming exchange rate btw Naira and dollar is ₦120

to $1. the following information are relevant to the two countries.

	Nigeria	USA.
cost of 1 ~~bottle~~ of evewater in year 2021	₦300	$2.50.
cost of 1 bottle eva water in year 2022.	₦600	$4.00.

i) What will be exchange rate in 2023 based on the purchasing power parity theory approach.

To calculate=inflation rate; $\left[\frac{\text{Latest price}}{\text{Earliest price}} \times \frac{100}{1}\right]$ [for Nigeria].

$= \frac{₦600}{₦300} \times \frac{100}{1} = 200\%$

[for USA] $= \frac{\$4.00}{\$2.50} \times 100 = \$160\%$.

Note! Nigeria uses direct quote.

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